

**BEFORE THE
FEDERAL MARITIME COMMISSION**

BALTIC AUTO SHIPPING, INC.	)	
	)	
	)	
COMPLAINANT,	)	
	)	
v.	)	
	)	
	)	DOCKET NO. 14-16
	)	
MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV, EMPIRE UNITED LINES CO., INC.,	)	
	)	
	)	
RESPONDENTS.	)	
	)	

**RESPONDENTS' MEMORANDUM IN RESPONSE TO COMPLAINANT'S SERIATIM
MOTIONS OF SEPTEMBER 2, 2016 SEEKING CONFIDENTIAL TREATMENT OF
ITS "REPLY" AND SEEKING TO DISCONTINUE THIS MATTER WITHOUT
RESPONDENTS' CONSENT**

BACKGROUND

On September 2, 2016 Respondents filed and served two items. One purported to be a Reply (the "Reply") to their own motion to withdraw their exceptions to the Initial Decision and to discontinue this matter. The Complainant's "Reply" raised entirely new grounds for the discontinuance of the instant matter – that Respondents' refusal to consent to the discontinuance on Complainant's terms was a breach of an alleged settlement agreement made in an entirely different matter, pending in an entirely different forum – to wit, the U.S. District Court for the District of

New Jersey. Complainant has essentially requested the Commission to enforce an alleged agreement that has not been properly place before it.

The other item served was a Motion by Complainant to have its "Reply" – alleging breach of the New Jersey settlement agreement - treated confidentially.

The "Reply" contained redacted material, and was also supported by two Appendices that apparently contained material, but were labelled, in part, "Excluded From Public Version".

Respondents were only served with the redacted version of the Reply; and no content of either Appendix was provided to the Respondents.

Respondents have requested an un-redacted version of the Reply as well as the content of the Appendices. Complainant has refused to provide the material claiming it is Complainant's right to withhold such material under the Commission's rules. (*See* correspondence attached.)

The relief sought by the Complainant in its motions of September 2, 2016 should be denied because: Complainant is attempting to use the Commission to enforce a settlement agreement that has no connection with the Shipping Act, and is therefore beyond the Commission's jurisdiction; Complainant has requested confidential treatment without satisfying the Commission's rules for granting confidential treatment; and Complainant's use of *ex parte* material is a violation of the Respondents' due process rights.

The Complainant's motion to discontinue the instant matter on its terms should also be dismissed as Respondents have not consented to such terms.

The Complainant's motion to withdraw its exceptions to the Initial Decision should be granted, and the Initial Decision should be adopted by the Commission as its own

POINT I:

**COMPLAINANT SEEKS A REMEDY FOR A BREACH OF CONTRACT CLAIM
WITH NO SHIPPING ACT CONNECTION – WHICH IS NOT A MATTER WITHIN
THE COMMISSION’S JURISDICTION**

Complainant raises for the first time in its “Reply” an argument that Respondents’ refusal to consent to a discontinuance of the instant matter on Complainant’s terms is a breach of Respondents’ undertaking in a wholly separate matter.

Complainant makes no argument that such alleged breach is a violation of the Shipping Act, or even that the alleged breach raises any Shipping Act issues. Accordingly, Complainant’s enforcement motion is not properly placed before the Commission.

As ALJ Guthridge stated in his February 2, 2015 “Order Denying Request for Stay” (Docket Document Number 16):

“In an earlier order in this proceeding, I stated:

‘The appropriate test for the Commission’s jurisdiction is whether the complainant’s allegations ‘involve elements peculiar to the Shipping Act ‘...

To elaborate, section 8 (c) of the Shipping Act ... provides ‘Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court’ ...

... section 8 (c) reasonably precludes the Commission from adjudicating breach of contract claims ...”

(pp. 3-4, relying on and quoting *Cargo One, Inc. v. COSCO Container Lines Company, Ltd.*, 28 S.R.R. 1635, 1645 (FMC 2000)) (internal citations omitted)

To the extent the Complainant seeks to foist a matter onto the Commission, under some kind of ancillary jurisdiction argument, such effort should be ignored by the Commission. To the extent that the Complainant seeks relief under such circumstances, the application should be denied.

POINT II:

COMPLAINANT'S REQUEST FOR CONFIDENTIAL TREATMENT DOES NOT SATISFY THE COMMISSION'S RULES FOR CONFIDENTIAL TREATMENT

The Commission's Rules provide that a motion for confidential treatment of material "show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information pursuant to §502.201(j)(1)(vii)" [*i.e.*, "trade secret or other confidential research, development, or commercial information"] (46 CFR 502.5 (b)).

Complainant has made no claim, let alone a showing that its "Reply" is a trade secret, nor confidential research, nor development, nor commercial information.

Accordingly, the Complainant has failed to satisfy the Commission's Rule with respect to keeping certain information confidential, and therefore its Motion should be denied.

POINT III:

COMPLAINANT'S REFUSAL TO PROVIDE THE RESPONDENTS WITH THE REDACTED MATERIAL VIOLATES RESPONDENTS' DUE PROCESS RIGHTS

Complainant bases its motion for confidential treatment on the redacted material in its "Reply":

"... the Settlement Agreement which is the subject of the Reply ... prohibits the disclosure of same ... complainant has redacted ... specific language in the Settlement Agreement" (Complainants' [sic] Motion for Confidential Treatment, p.1)

The Complainant has refused to provide the redacted material to the Respondents. Any use of the material by the Commission would be a violation of the Respondents' due process rights under the Fifth Amendment. Accordingly, the Motion for Confidential Treatment should be denied, or the pleading rejected by the Commission.

The Due Process Clause of the Fifth Amendment provides that no person shall be "deprived of life, liberty or property, without due process of laws" (see U.S. Const., amend. V). The Respondents' have a property right at stake – the granting of attorney fees in this case. The Complainant seeks to deny the Respondent such fees, relying on information that it is supplying to the Commission on an *ex parte* basis.

"[T]he essential character of procedural due process is a right to notice and a hearing" (N. Kuckes, *Civil Due Process, Criminal Due Process*, 25 Yale Law & Policy Review 1, 3 (2006) discussing *Mathews v. Eldridge*, 424 U.S. 319, 334 (1976)). If a party does not have access to all of the information set before a tribunal, it has not received adequate "notice". "[F]airness can rarely be obtained by secret, one-sided determination of facts decisive of rights" (*Joint Anti-Fascist Refugee Comm. v. McGrath*, 341 U.S. 123, 170 (1951) (Frankfurter, J., concurring)). Indeed,

“Our system of justice does not encompass *ex parte* determinations on the merits of cases in civil litigation” (*Ass’n. for Reduction of Violence v. Hall*, 734 F.2d 63, 67 (1st Cir. 1984 quoting *Kinoy v. Mitchell*, 67 F.R.D. 1, 15 (S.D.N.Y. 1975))).

Whether or not the “Reply” is to be kept from the public, any evidence submitted to the Commission must be shared with the Respondent. A party may not submit material *ex parte* “as a sword to seek summary judgment and at the same time blind plaintiff to see whatever defendant wishes to rely upon to seek summary judgment” (*Bane v. Spencer*, 393 F.2d 108, 110 (1st Cir. 1968))).

As the material submitted by the Complainant has not been shared, and the Complainant has refused to share it, the Motion for Confidential Treatment must be denied on the grounds that the attempt to obtain such relief, and any relief that might be granted under such a tainted attempt, would violate the Respondent’s procedural due process rights.

CONCLUSION

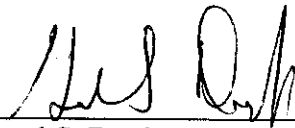
The relief sought by the Complainant in its motions of September 2, 2016 should be denied because Complainant is attempting to use the Commission to enforce a settlement agreement that has no connection with the Shipping Act, and is therefore beyond the Commission’s jurisdiction; it has requested confidential treatment without satisfying the Commission’s rules for granting confidential treatment; and its use of *ex parte* material is a violation of the Respondents’ due process rights.

The Complainant’s motion to discontinue the instant matter on its terms should also be dismissed as Respondents have not consented to such terms.

The Complainant’s motion to withdraw its exceptions to the Initial Decision should be granted, and the Initial Decision should be adopted by the Commission as its own.

Respectfully submitted,

By:



Gerard S. Doyle, Jr.

THE LAW OFFICE OF DOYLE & DOYLE

636 Morris Turnpike

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Attorneys for Respondents

Michael Hitrinov, a/k/a

Michael Khitrinov, and

Empire United Lines, Co., Inc.

Dated in Short Hills, N.J. 16th day of September, 2016.

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the RESPONDENTS' MEMORANDUM IN RESPONSE TO COMPLAINANT'S SERIATIM MOTIONS OF SEPTEMBER 2, 2016 SEEKING CONFIDENTIAL TREATMENT OF ITS "REPLY" AND SEEKING TO DISCONTINUE THIS MATTER WITHOUT RESPONDENTS' CONSENT upon Complainant's counsel, Marcus A. Nussbaum, Esq., with the address of P.O. Box 245599, Brooklyn, NY 11224 by first class mail, postage prepaid and by email (marcus.nussbaum@gmail.com); and that the original and five (5) copies are being filed with the Secretary of the Federal Maritime Commission.



Gerard S. Doyle, Jr.

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gdoyle@doylelaw.net

Attorneys for Respondents

Michael Hitrinov, a/k/a

Michael Khitrinov, and

Empire United Lines, Co., Inc.

Dated in Short Hills, N.J. this 16th day of September, 2016.

APPENDIX

Exchange of email correspondence: Respondents' request for redacted material' Complainant's refusal to provide same

Gerry Doyle

From: Marcus Nussbaum <marcus.nussbaum@gmail.com>
Sent: Friday, September 09, 2016 5:31 PM
To: Gerry Doyle
Cc: Jon Werner
Subject: FMC Docket No.: 14-16

Mr. Doyle,

I am in receipt of your email of September 8, 2016 regarding your request to be provided with the unredacted, confidential version of the Reply and Appendix on Complainant's Motion to Withdraw Appeal and to Discontinue Action.

Please be advised that neither the Initial Order in this matter, nor the Federal Maritime Commission's Rules of Practice and Procedure require complainant to serve your office with the confidential version of the above mentioned documents.

Inasmuch as you have taken it upon yourself to copy your client, Hitrinov and his former counsel, Jon Werner, with your email to which this responds, and to the extent that upon information and belief Mr. Werner, with whom you have been openly colluding in this matter is in possession of the very documents you now seek, it is suggested that you pursue the issue with them, as Complainant respectfully declines your invitation to breach the confidentiality of the resolution of the New Jersey Federal Court action, despite your client, Hitrinov having done so on multiple occasions.

As to your contention that the time period within which for respondents to respond to said motion has not yet begin to run, respondents take that position at their own peril.

In closing we note your having copied the Office of the Secretary with your email to which this responds which complainant respectfully declines to do.

Regards,

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
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<http://www.nussbaumlawfirm.com/>

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Gerry Doyle

From: Gerry Doyle
Sent: Thursday, September 08, 2016 5:32 PM
To: Marcus Nussbaum; Secretary
Cc: Gerry Doyle; Michael Hitrinov; Jon Werner
Subject: RE: FMC Docket No.: 14-16

Mr. Nussbaum:

You served this office with your redacted Motion papers one week ago.

The Certificate of Service appended to your motion papers states that you have mailed me a copy of your Motion by first class mail. It has not arrived.

It has been one week since you served your redacted papers by email, and I have not yet received the proposed "confidential" version – neither the un-redacted "Reply" nor the "Appendix" material.

I must insist that you forthwith serve the un-redacted material so that I may protect my client's rights under FMC Rule 70 (46 CFR 502.70).

Similarly, as the redaction seems to somehow be connected to both the Motion for Confidential Treatment as well as the Motion to Discontinue the Action it is my position that the time for Response does not begin to run until I have been served with all relevant papers that have been submitted to the Commission.

Please send me the un-redacted pleadings forthwith.

Thank you.

Gerard S. Doyle, Jr.
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Attorneys for Respondents
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Short Hills, NJ 07078
(973) 467-4433 (x. 3)
(973) 467-1199 (fax)
gdoyle@doylelaw.net

From: Marcus Nussbaum [mailto:marcus.nussbaum@gmail.com]
Sent: Tuesday, September 06, 2016 10:20 AM
To: Secretary <secretary@fmc.gov>
Cc: Judges <Judges@fmc.gov>; Gerry Doyle <gdoyle@doylelaw.net>
Subject: Re: FMC Docket No.: 14-16

Dear Ms. Dickon,

I have been informed that the papers were mailed to the Office of the ALJ by U.S. Priority Mail with an expected delivery of today. By copy of this email I ask that Ms. Hutchins kindly forward them to your attention upon her receipt of same.

Thank you again for your assistance with this matter.

Regards,

Marcus A. Nussbaum, Esq.
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On Tue, Sep 6, 2016 at 9:06 AM, Secretary <secretary@fmc.gov> wrote:

Mr. Nussbaum,

If you have not yet placed the confidential versions in the mail, please direct those to the Secretary, not the Administrative Law Judges. All filings should come directly to the Secretary. In addition, be advised that this proceeding is no longer before the Administrative Law Judge, but rather is before the Commission.

If these are already on the way do not resend, we will ask the Office of Administrative Law Judge to forward the filings.

Thank you,

Rachel E. Dickon

Assistant Secretary

Federal Maritime Commission

From: Marcus Nussbaum [mailto:marcus.nussbaum@gmail.com]
Sent: Friday, September 02, 2016 7:17 PM
To: Secretary <secretary@FMC.gov>
Cc: Judges <Judges@FMC.gov>; Gerry Doyle <gdoyle@doylelaw.net>
Subject: FMC Docket No.: 14-16

Dear Secretary of the Federal Maritime Commission,

I represent the Complainants in the above referenced matter.

Attached please find the following:

1. Complainants' Motion for Confidential Treatment of COMPLAINANTS' REPLY ON THEIR MOTION TO WITHDRAW APPEAL AND TO DISCONTINUE ACTION;

2. COMPLAINANTS' REPLY ON THEIR MOTION TO WITHDRAW APPEAL AND TO DISCONTINUE ACTION - PUBLIC VERSION

3. APPENDIX TO COMPLAINANTS' REPLY ON THEIR MOTION TO WITHDRAW APPEAL AND TO DISCONTINUE ACTION - PUBLIC VERSION

Counsel for the respondents has been served herewith and via first class mail.

A confidential version of the Reply and Appendix has been forwarded directly to the Office of the Administrative Law Judges.

The original and five copies are being mailed to your office under separate cover.

Regards,

Marcus A. Nussbaum, Esq.
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Brooklyn, NY 11224

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